

Educational Analysis

2026 Tax Year Planning

Prepared for Joyce | March 2026

Educational scenario modeling for discussion with licensed professionals

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to Joyce's financial profile as a high-income W-2 earner (age 63) with an existing short-term rental operation and a newly formed single-member LLC in Wyoming/Maryland. The strategies modeled focus on reducing a significant federal and state tax burden (estimated ~43% combined marginal rate) while building wealth through retirement accounts, real estate expansion, and investment positioning.

Based on the profile analysis, this snapshot models potential first-year value ranging from **\$100,680** (conservative scenario) to **\$484,837** (aggressive scenario including additional real estate acquisition). Implementation of any strategy should be verified with your CPA and licensed financial advisor.

Modeled 2026 First-Year Value: \$100,680 – \$484,837

Current Financial Position

Filing Status	Single · Age 63 · 0 dependents	Location	Maryland (state income tax up to 6.25% + local)
W-2 Income	\$500,000+ annually	2024 Tax Paid	\$245,000
Business Entity	Single-Member LLC (sole prop) — WY & MD	Entity Age	< 6 months
SE Income	To be determined (STR classification)	W-2 401(k)	Maxing at \$23,500 (2025); will be \$24,500 for 2026
HSA	Currently maxing out	Backdoor Roth	Currently doing annually

Existing RE	1 STR property (mortgage \$42,400/yr)	Monthly Expenses	\$8,000 (includes STR mortgage)
STR Revenue	\$50,000–\$99,000 annually	Reserves	6+ months cash
Home Equity	\$25,000–\$100,000 (moderate)	Liquid Capital	\$500,000+ (Q26)
Comfortable Deploying	\$100,000+ (Q45)	Credit Score	760+
Bitcoin Position	Small (<1%)	Risk Tolerance	Moderate (balanced growth & stability)
Time Available	10–15 hours/week	Vehicle	2022 Genesis G70 (mixed use, 25–75% business)
Home Office	Yes — dedicated room, exclusive business use	Goals	Reduce taxes significantly; expand STR portfolio
Interest Areas	RE investing, content creation (YouTube/podcast)	Professional Team	CPA (proactive), Attorney — in place
Est. Marginal Rate	~43% combined (est. 35% federal + 6.25% MD state + local county tax). See note below.		

⚠ **Maryland Tax Rate Update (2025 Legislative Session):** Maryland enacted two new high-income brackets effective for tax years beginning after Dec 31, 2024: **6.25%** on MD taxable income over \$500,000 (single) and **6.50%** over \$1,000,000. Local county taxes (2.25%–3.30%) apply on top. At Joyce's income level, the marginal MD state rate is 6.25%, not the previous 5.75%. Maryland also enacted a **2% capital gains surtax** for taxpayers with federal AGI over \$350,000 — relevant for investment planning. Verify your county's current local rate and total combined rate with your CPA.

⚠ **SECURE 2.0 Alert:** With W-2 income exceeding \$150,000 in 2025, Joyce's 2026 catch-up contributions (the \$11,250 super catch-up at age 63) must be designated Roth, not pre-tax. This applies to employer-plan catch-up only. Discuss implementation with your plan administrator and CPA.

Marginal Rate Note: Joyce's federal marginal bracket on \$500K+ W-2 income (after \$16,100 standard deduction) is 35% (\$256,226–\$640,600 for single filers, 2026 per Rev. Proc. 2025-32). If total income (W-2 + STR + other) pushes taxable income above \$640,600, the federal marginal rate reaches 37%. Combined with 6.25% MD state + local county tax (~2–3%), the working estimate of ~43% is used throughout this document. Verify your exact combined rate with your CPA.

Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

WEEK	CONSIDERATION
Week 1	Tax Return & Withholding Review — Review 2025 tax return with CPA for over-withholding patterns. Discuss W-4 adjustment to optimize 2026 cash flow. Verify whether STR income through SMLLC qualifies as Schedule C (self-employment) vs. Schedule E — this classification determines Solo 401(k) eligibility.
Week 2	Retirement Account Strategy — If STR income qualifies as SE income, discuss Solo 401(k) plan establishment with CPA. Plan must be in place by December 31, 2026 for employee deferrals. SECURE 2.0 Roth catch-up requirement: confirm plan administrator can handle Roth designation for the \$11,250 super catch-up (age 63). Verify 2025 IRA/Roth contribution status — April 15, 2026 deadline approaching.
Week 3	Real Estate Expansion Analysis — Identify target STR markets for second property (\$350K–\$400K range). Run pro forma cash flow models. Obtain cost segregation study quotes for both existing property and prospective new acquisition. Note: OBBBA permanently restored 100% bonus depreciation for property acquired after Jan 19, 2025. Discuss Augusta Rule documentation and rental agreement structure with CPA.
Week 4	Investment & Documentation — Schedule consultation with licensed financial advisor to review investment scenario. Set up 2026 vehicle mileage log (72.5¢/mile). Measure and document home office space for deduction. Review content creation activities for potential SE income classification through LLC.

2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until their respective deadlines:

STRATEGY	2025 LIMIT	DEADLINE	JOYCE'S OPPORTUNITY
Traditional / Roth IRA	\$7,000 + \$1,000 catch-up = \$8,000	April 15, 2026	Joyce indicated she does this annually — verify 2025 contribution was made; if not, \$8,000 remains available via Backdoor Roth
HSA Contributions	\$4,300 individual + \$1,000 catch-up = \$5,300	April 15, 2026	Joyce indicated maxing HSA — verify full \$5,300 was contributed for 2025; top off any shortfall before April 15
Solo 401(k) Employer Portion	25% of net SE income (plan must already exist)	Tax filing + extensions	Only if Solo 401(k) was established before Dec 31, 2025 and STR income classified as SE. LLC is <6 months old — likely not available for 2025
SEP IRA	25% of net SE income, up to \$69,000	Tax filing + extensions	Alternative if Solo 401(k) not established for 2025 but SE income exists — discuss with CPA

No Longer Available for 2025: Employee 401(k) deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

2026 Tax Optimization Strategies to Explore

Strategy Concept: Short-Term Rental Cost Segregation (New Property Acquisition)

Potential Value: \$42,000 – \$55,000 (Year 1 tax benefit)

What It Is: A cost segregation study reclassifies building components into shorter depreciation schedules (5, 7, 15 years vs. 27.5), creating accelerated depreciation deductions. Under the One Big Beautiful Bill Act (OBBBA), signed July 4, 2025, **100% bonus depreciation has been permanently restored** for qualified property acquired and placed in service after January 19, 2025. This means reclassified components can be fully expensed in Year 1.

How It Works:

1. Acquire STR property and place in service during 2026
2. Commission an engineering-based cost segregation study (\$5,000–\$8,000 typical cost)
3. Cost seg applies to **building basis** (property value minus land, typically ~80%): on a \$375K property, building basis ≈ \$300K
4. Study reclassifies ~30–40% of building basis (\$90K–\$120K) to shorter-life assets eligible for 100% bonus depreciation under OBBBA
5. Remaining basis (\$180K–\$210K) depreciates straight-line over 27.5 years (~\$6,500–\$7,600 in Year 1)
6. Total Year 1 depreciation: ~\$97,000–\$128,000. At ~43% marginal rate: **\$42,000–\$55,000** in modeled tax savings

Eligibility Criteria: Property owner with STR material participation (avg stay under 7 days + substantial owner services). Joyce's 10–15 hrs/wk time availability supports material participation documentation. Losses may offset W-2 income if material participation is met and STR is classified under IRC §469 exception.

Real estate tax strategies have specific documentation and participation requirements. Cost segregation studies should be performed by qualified engineering firms. OBBBA permanently restored 100% bonus depreciation for property acquired after Jan 19, 2025 — verify acquisition timing with your CPA. Work with a qualified tax professional to ensure compliance. 2026 provisions shown.

Strategy Concept: W-2 401(k) Maximization with Super Catch-Up (Age 63)

Potential Value: \$10,535 (pre-tax savings at 43% on \$24,500 base)

What It Is: Maximize 2026 W-2 401(k) contributions at the new \$24,500 limit plus the \$11,250 super catch-up (ages 60–63 under SECURE 2.0). Total employee contribution capacity: \$35,750. The base \$24,500 may be pre-tax; the \$11,250 catch-up must be Roth (SECURE 2.0 mandate for earners over \$150K FICA wages in prior year).

How It Works:

1. Confirm employer plan accepts age 60–63 super catch-up contributions for 2026
2. Adjust payroll elections: \$24,500 pre-tax + \$11,250 Roth catch-up = \$35,750 total
3. Pre-tax portion ($\$24,500 \times 43\%$) models \$10,535 in current-year tax savings; Roth portion grows tax-free

Eligibility Criteria: Age 63, W-2 employment with 401(k) plan. SECURE 2.0 Roth catch-up requirement applies (FICA wages >\$150K in 2025).

Verify your employer's plan has been updated for 2026 super catch-up provisions and Roth catch-up mandate. 2026 limits shown.

Strategy Concept: HSA Maximization with Catch-Up (Age 55+)

Potential Value: \$2,322 (tax savings at 43%)

What It Is: Health Savings Accounts provide a triple tax benefit: contributions are deductible, growth is tax-free, and qualified withdrawals are tax-free. For 2026, individual coverage limit is \$4,400 + \$1,000 catch-up (age 55+) = \$5,400 total. At 43%, this models \$2,322 in tax savings.

How It Works:

1. Verify HDHP coverage continues for 2026
2. Contribute \$5,400 total (\$4,400 + \$1,000 catch-up) via payroll or direct contribution
3. Consider investing HSA funds for long-term growth rather than using for current expenses

Eligibility Criteria: Must be enrolled in a High-Deductible Health Plan. Cannot be enrolled in Medicare. At age 63, verify Medicare enrollment timing with benefits advisor.

If Medicare enrollment occurs during 2026, HSA contribution must be prorated. Verify with CPA. 2026 limits shown.

Strategy Concept: Augusta Rule (IRC §280A — 14-Day Home Rental)

Potential Value: \$3,010 – \$4,214 (tax benefit) + \$7,000–\$9,800 income received

What It Is: A homeowner may rent their personal residence for up to 14 days per year without reporting the rental income. Joyce's LLC rents her home for legitimate business meetings/events, paying fair market rent. The LLC deducts the rent; Joyce receives the income tax-free. At \$500–\$700/day × 14 days = \$7,000–\$9,800 received.

How It Works:

1. Document fair market rental rate (obtain comparable rental comps in your area)
2. Execute formal rental agreement between LLC and Joyce for specific business-use dates
3. Maintain records: business purpose, attendees, agenda, and payment documentation

Eligibility Criteria: Must own home, have legitimate business entity, and conduct bona fide business activities at the residence. Maximum 14 days per year. Rental rate must be defensible at fair market value.

Augusta Rule requires meticulous documentation. Discuss rate justification and documentation requirements with your CPA before implementation. 2026 provisions shown.

Strategy Concept: Home Office Deduction (Dedicated Room)

Potential Value: \$645 – \$1,290

What It Is: A dedicated room used exclusively and regularly for business qualifies for the home office deduction. The simplified method allows \$5/sq ft up to 300 sq ft (\$1,500 max). The regular method calculates actual expenses proportionally. At 43% marginal rate, the tax savings range from \$645 (simplified) to \$1,290 (regular method, larger space).

How It Works:

1. Measure and photograph dedicated office space (must be exclusive business use)
2. Choose simplified (\$5/sq ft, max \$1,500 deduction) or regular method (proportional actual expenses)
3. Maintain documentation: photos, measurements, utility bills if using regular method

Eligibility Criteria: Self-employment or business income required (W-2 employees generally cannot claim since 2018 TCJA). Applies to Joyce's SMLLC activities.

Verify home office qualifies under exclusive-use test with your CPA. 2026 limits shown.

Strategy Concept: Business Vehicle Expense (2022 Genesis G70)

Potential Value: \$3,118 – \$4,676

What It Is: Business use of a personal vehicle is deductible at 72.5¢/mile for 2026. Joyce indicated 25–75% business use on her 2022 Genesis G70. Conservative estimate: 10,000 business miles $\times$ \$0.725 = \$7,250 deduction $\times$ 43% = \$3,118. Aggressive: 15,000 miles $\times$ \$0.725 = \$10,875 $\times$ 43% = \$4,676.

How It Works:

1. Begin contemporaneous mileage log January 1, 2026 (date, destination, business purpose, miles)
2. Track all trips to STR property, business meetings, supply runs, and content creation activities
3. At year-end, compare standard mileage vs. actual expense method to optimize

Eligibility Criteria: Vehicle must be used for business purposes. Mileage log must be maintained contemporaneously. Commuting does not qualify.

Mileage rate for 2026: 72.5¢/mile. A contemporaneous log is the #1 audit defense for vehicle deductions. Discuss with CPA.

Strategy Concept: Solo 401(k) Employer Contributions (If STR = SE Income)

Potential Value: \$0 – \$5,375 (depends on SE income classification)

What It Is: If Joyce's STR income qualifies as self-employment income through her SMLLC (Schedule C), she may establish a Solo 401(k) and make employer contributions of up to 25% of net SE income. On estimated \$50K net SE income: $25\% \times \$50,000 = \$12,500$ contribution $\times 43\% = \$5,375$ tax savings.

How It Works:

1. CPA determines whether STR income qualifies as SE income (average stay <7 days + substantial services = likely Schedule C)
2. If eligible, establish Solo 401(k) before December 31, 2026 for employee deferrals
3. Employee deferrals: up to \$24,500 + \$11,250 super catch-up (age 63) — but Joyce already uses this capacity at W-2 employer. Employer contribution (25% of net SE) remains available.

Eligibility Criteria: Self-employment income, no full-time W-2 employees in the LLC (spouse exception). Plan must be established by Dec 31, 2026 for employee contributions. Employer contributions can be made up to tax filing deadline + extensions.

STR income classification is critical — discuss with your CPA whether your rental activity meets the material participation and substantial services tests for Schedule C treatment. 2026 limits shown.

Strategy Concept: SALT Deduction (Updated Cap Under OBBBA)

Potential Value: Discussion item — verify itemization benefit with CPA

What It Is: The One Big Beautiful Bill Act (OBBBA) raised the state and local tax (SALT) deduction cap from \$10,000 to **\$40,000** for 2025 forward. For a Maryland resident with \$500K+ income paying state income tax at 6.25%+ plus local county tax, plus property taxes on STR and primary residence, the increased SALT cap may make itemizing more favorable.

How It Works:

1. Calculate total state/local income taxes + property taxes paid
2. Compare itemized deductions (with \$40K SALT cap) vs. standard deduction (\$16,100 single for 2026)

3. Note: Maryland's new itemized deduction phase-out (7.5% of FAGI over \$200K) may reduce the benefit — discuss with CPA

The SALT cap increase is a significant change from the prior \$10,000 limit. Maryland also now limits itemized deductions for high earners. Verify net benefit with your CPA. 2026 provisions shown.

Primary Strategy Education: STR Portfolio Expansion & Cost Segregation

Joyce's stated goals center on reducing taxes and expanding her STR portfolio. Given her profile — \$500K+ W-2 income, \$245K in 2024 taxes, 10–15 hours/week available, existing STR experience, and \$500K+ liquid capital — STR acquisition combined with cost segregation represents the highest potential-value strategy to explore.

How STR + Cost Segregation Works Together

The Concept: Short-term rentals with average guest stays under 7 days are treated differently from traditional rentals under IRC §469. If the owner materially participates (commonly interpreted as 100+ hours and more than anyone else), losses from cost segregation can potentially offset W-2 income — a benefit not typically available with passive rental activities.

Illustrative Scenario: \$375,000 STR Acquisition

COMPONENT	AMOUNT	NOTES
Purchase Price	\$375,000	Midpoint of \$350K–\$400K range
Down Payment (20%)	\$75,000	Conventional financing at 760+ credit
Mortgage (~\$300K at ~7%)	~\$2,000/mo	P&I only; verify current rates
Land Value (est. 20%)	\$75,000	Not depreciable — subtracted from basis
Building Basis (80%)	\$300,000	Depreciable basis for cost seg analysis
Cost Seg — Reclassified Components	\$90,000–\$120,000	30–40% of building basis to 5/7/15 yr schedules
100% Bonus Depreciation (OBBBA)	\$90,000–\$120,000	Reclassified components × 100% (post-Jan 19, 2025)
Remaining Straight-Line (Year 1)	\$6,500–\$7,600	(\$180K–\$210K) ÷ 27.5 years
Total Year 1 Depreciation	\$97,000–\$128,000	Bonus dep + first-year straight-line

Modeled Tax Benefit (× 43%)	\$42,000– \$55,000	Potential offset against W-2 income if material participation met
Projected Gross STR Revenue	\$50,000– \$70,000/yr	Market-dependent; based on similar STR performance
NOI (after expenses)	\$25,000– \$35,000/yr	Net operating income after management, maintenance, utilities

Material Participation Considerations

For STR losses to offset W-2 income, the IRS generally requires material participation. Common tests include: (1) 500+ hours in the activity, (2) substantially all participation, or (3) 100+ hours and more than any other individual. With 10–15 hours/week available, Joyce could potentially document 520–780 hours annually across property management, guest communication, maintenance coordination, and market research.

Existing Property Opportunity

Joyce's current STR property may also benefit from a cost segregation study if one has not been performed. A "look-back" study can capture missed depreciation from prior years. Discuss with CPA whether a catch-up depreciation adjustment (IRC §481(a)) is advantageous. Note: if the existing property was acquired before Jan 20, 2025, the TCJA phase-down rates apply (40% for 2025, 20% for 2026), not the OBBBA 100% rate.

Real estate tax strategies have specific documentation and participation requirements. Cost segregation studies should be performed by qualified engineering firms. Material participation must be documented contemporaneously with time logs. OBBBA permanently restored 100% bonus depreciation for property acquired after Jan 19, 2025. For property acquired earlier, TCJA phase-down rates apply. Work with a qualified tax professional to ensure compliance.

Illustrative Portfolio Scenario

Educational Investment Scenario (Based on Profile Analysis)

Joyce's profile indicates moderate risk tolerance, goals focused on tax reduction and STR portfolio growth, 10–15 hours/week available, and \$100K+ comfortable deploying with \$500K+ liquid. Existing Bitcoin position is small (<1%). This scenario models a moderate allocation emphasizing growth with passive income components.

ASSET CLASS	SCENARIO %	CONSERVATIVE (\$100K)	AGGRESSIVE (\$500K)	EDUCATIONAL RATIONALE
Bitcoin	55%	\$55,000	\$275,000	Bitcoin serves as a wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption. 55% reflects moderate profile with growth orientation.
STRC	25%	\$25,000	\$125,000	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield. Matches tax-reduction and cash flow goals.
VTI / VOO	20%	\$20,000	\$100,000	VTI offers broad U.S. equity exposure at low cost (0.03% expense ratio). VOO tracks the S&P 500. Provides stabilizing diversification for the portfolio.

This scenario models one approach based on the moderate, tax-reduction-focused profile indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation. Verify current STRC yield at time of investment; historical yields are not guaranteed.

Maryland Capital Gains Note: Beginning in tax year 2025, Maryland imposes a 2% surtax on net capital gains for taxpayers with federal AGI exceeding \$350,000. This applies on top of ordinary MD income tax rates. Factor this into investment planning — discuss tax-efficient asset location strategies with your financial advisor and CPA.

These scenarios are for educational illustration. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile and speculative. Past performance does not guarantee future results. Consult a licensed financial advisor before making investment decisions.

Modeled First-Year Value Summary (2026 Tax Year)

⚠ **Note:** All values below are modeled estimates for educational purposes. Conservative scenario uses \$100,000 investment capital. Aggressive scenario uses \$500,000 investment capital and includes new STR acquisition. Actual results will vary based on market conditions, tax law changes, and individual circumstances.

Category	Item	Conservative	Aggressive	Calculation Basis
Category A: Tax Optimization				
Tax	W-2 401(k) Pre-Tax Savings (\$24,500 × 43%)	\$10,535	\$10,535	Base deferral × marginal rate
Tax	HSA (\$4,400 + \$1,000 catch-up = \$5,400 × 43%)	\$2,322	\$2,322	Individual + 55+ catch-up × rate
Tax	Augusta Rule (14 days × \$500–\$700/day × 43%)	\$3,010	\$4,214	Rental income × marginal rate
Tax	Home Office Deduction (× 43%)	\$645	\$1,290	Simplified vs. regular method
Tax	Vehicle Expense (10K–15K mi × 72.5¢ × 43%)	\$3,118	\$4,676	2026 mileage rate × business miles
Tax	Solo 401(k) Employer (25% net SE × 43%)	\$0	\$5,375	Requires SE income classification
Tax	STR Cost Segregation — new property (100% bonus dep, OBBBA)	\$0	\$48,000	~\$112K dep (midpoint of building basis method) × 43%
Tax Optimization Subtotal		\$19,630	\$76,412	
Category B: Investment Income (Yield / Dividends)				
Income	STRC Yield (\$25K × 10% / \$125K × 12%)	\$2,500	\$15,000	STRC allocation × projected yield
Income	ETF Dividends (\$20K × 1.5% / \$100K × 2%)	\$300	\$2,000	VTI/VOO allocation × dividend rate

Investment Income Subtotal		\$2,800	\$17,000	
CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)				
Growth	Bitcoin (\$55K × 25% / \$275K × 50%)	\$13,750	\$137,500	BTC allocation × modeled rate
Growth	STRC (\$25K × 15% / \$125K × 30%)	\$3,750	\$37,500	STRC allocation × modeled rate
Growth	VTI/VOO (\$20K × 8% / \$100K × 12%)	\$1,600	\$12,000	ETF allocation × modeled rate
Appreciation Subtotal		\$19,100	\$187,000	
CATEGORY D: REAL ESTATE (AGGRESSIVE SCENARIO — EXISTING STR INVESTOR, EXPANSION GOAL)				
RE	STR Annual Cash Flow (NOI)	\$0	\$30,000	After expenses; market dependent
RE	Property Appreciation (~4.5% of \$375K)	\$0	\$16,875	Midpoint of 3–6% range
RE	Mortgage Principal Paydown (Year 1)	\$0	\$4,500	Equity build from amortization
Real Estate Subtotal		\$0	\$51,375	Conservative = no new acquisition
CATEGORY E: CASH FLOW IMPROVEMENTS				
Cash Flow	W-4 Optimization (reduced over-withholding)	\$2,400	\$6,000	\$200–\$500/mo additional take-home
Cash Flow Subtotal		\$2,400	\$6,000	
CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)				
Wealth	W-2 401(k) Contributions (\$24,500 pre-tax + \$11,250 Roth catch-up)	\$35,750	\$35,750	2026 base + super catch-up (age 63)
Wealth	HSA Contributions (\$4,400 + \$1,000 catch-up)	\$5,400	\$5,400	2026 individual + 55+ catch-up

Wealth	Backdoor Roth IRA (\$7,500 + \$1,100 catch-up)	\$8,600	\$8,600	2026 limit + 50+ catch-up (single filer)
Wealth	Solo 401(k) Employer Contribution	\$0	\$12,500	25% of est. \$50K net SE income
Wealth	Augusta Rule Income Received (tax-free)	\$7,000	\$9,800	14 days × \$500–\$700/day
Wealth	RE Equity Position (down payment)	\$0	\$75,000	20% down on \$375K property
Wealth Building Subtotal		\$56,750	\$147,050	
TOTAL MODELED FIRST-YEAR VALUE (2026)		\$100,680	\$484,837	

CONSERVATIVE SCENARIO

\$100,680

AGGRESSIVE SCENARIO

\$484,837

Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Verify with your CPA. Consult with your licensed professionals before implementation.

Calendar Awareness & Key Dates (2026)

Verify all deadlines with your tax professional.

DATE	CONSIDERATION	NOTES
April 15, 2026	Last day for 2025 IRA & HSA contributions	Verify 2025 contributions were completed; top off if needed
April 15, 2026	2025 tax return filing (or extension)	Review 2025 return for over-withholding and strategy opportunities
Q1-Q2 2026	STR property identification & acquisition	Earlier acquisition = more 2026 rental income and 100% bonus depreciation (OBBBA)
Q2 2026	Cost segregation study (existing & new property)	Commission after acquisition; typically 4–6 week turnaround
Oct 15, 2026	Extended 2025 filing deadline	Solo 401(k) employer contributions & SEP IRA for 2025 (if applicable)
Dec 31, 2026	Solo 401(k) plan establishment deadline	Required for 2026 employee deferrals
Dec 31, 2026	2026 W-2 401(k) employee contributions	$\$24,500 + \$11,250$ super catch-up (Roth) = $\$35,750$
Dec 31, 2026	Last day for Augusta Rule rentals in 2026	14-day maximum; document each event
April 15, 2027	Last day for 2026 IRA & HSA contributions	Backdoor Roth: $\$7,500 + \$1,100$ catch-up = $\$8,600$

Questions for Your Professional Team

For Your CPA

STR Classification: "Is my STR income through the SMLLC properly classified as Schedule C (self-employment) or Schedule E (rental)? What documentation supports Schedule C treatment?"

Cost Segregation: "Should I commission a cost seg study on my existing STR property? Is a look-back adjustment (§481(a)) beneficial for missed depreciation? For the existing property, what bonus depreciation percentage applies based on when it was acquired?"

SECURE 2.0: "Based on my 2025 FICA wages, must my 2026 catch-up contributions be Roth? Has my employer's plan been updated for the super catch-up (\$11,250 at age 63)?"

Solo 401(k): "Given my W-2 401(k), what additional contribution room exists in a Solo 401(k)? Is the employer-only contribution (25% net SE) the right approach?"

Augusta Rule: "What fair market rental rate is defensible for my home in my area? What documentation do you need to support this deduction?"

Maryland Tax Update: "With the new 6.25% bracket and 2% capital gains surtax, what is my exact combined marginal rate? How does the new itemized deduction phase-out (7.5% of FAGI over \$200K) affect my situation? Does the increased \$40,000 SALT cap under OBBBA make itemizing more beneficial than the standard deduction?"

2025 Cleanup: "Did I maximize my 2025 IRA and HSA contributions? Is there time remaining to make contributions before April 15?"

W-4 Review: "Based on my 2025 refund/liability, should I adjust my 2026 W-4 to improve monthly cash flow?"

For Your Financial Advisor

Portfolio: "How does the investment scenario in this snapshot align with my overall risk tolerance, time horizon, and retirement goals?"

Bitcoin Allocation: "Given my age (63) and moderate risk profile, what allocation to Bitcoin and crypto-correlated assets is appropriate for my situation?"

Tax-Loss Harvesting: "Are there opportunities to coordinate investment decisions with my tax strategy for optimal after-tax returns?"

MD Capital Gains Surtax: "How should the new Maryland 2% capital gains surtax affect my investment planning and asset location strategy?"

For Your Attorney

Entity Structure: "Is my WY/MD SMLLC optimally structured for STR operations and potential content creation income? Should I consider an S-Corp election?"

Asset Protection: "With a growing real estate portfolio, what liability protections should be in place? Separate LLC per property?"

Professional Team Considerations

Joyce indicated she has a proactive CPA and attorney already in place. The following outlines which professional to consult for each strategy area:

PROFESSIONAL	STRATEGY AREAS	KEY CONSIDERATIONS
CPA / Tax Professional	All tax strategies, retirement contributions, cost segregation coordination, SE income classification, SECURE 2.0 compliance, OBBBA provisions, MD rate changes	Primary advisor for implementation sequencing and compliance
Attorney	LLC structure (WY/MD), asset protection, S-Corp election evaluation, rental agreements (Augusta Rule), property acquisition contracts	Entity optimization before adding properties
Licensed Financial Advisor	Investment scenario implementation, portfolio allocation, Bitcoin/crypto positioning, retirement income planning (age 63)	Must be registered investment adviser for specific allocation guidance
Cost Segregation Engineer	Engineering-based depreciation studies for existing and new STR properties	Obtain quotes from 2–3 firms; typical cost \$5,000–\$8,000 per study
Real Estate Agent / Analyst	STR market identification, property sourcing, comparable rental analysis	Experience with STR-specific markets and regulations

Review Milestones & Checkpoint Considerations

QUARTER	FOCUS
Q1 2026	Foundation Phase: Complete 2025 tax return review. File or extend. Make any remaining 2025 contributions (IRA, HSA). Begin W-4 optimization. Start STR market research. Initiate cost seg quote process for existing property. Review new MD tax brackets with CPA.
Q2 2026	Acquisition Phase: Target STR property identification and acquisition. Commission cost segregation study upon closing (100% bonus dep applies under OBBBA for post-Jan 19, 2025 acquisitions). Begin Augusta Rule documentation for 2026 events. Establish mileage and home office records.

Q3 2026 Mid-Year Review: Check 401(k) contribution pacing (\$35,750 target). Verify HSA contributions on track (\$5,400). Review STR property performance. Evaluate whether Solo 401(k) establishment is warranted based on SE income determination.

Q4 2026 Year-End Optimization: Finalize 401(k) and HSA contributions before Dec 31. Establish Solo 401(k) by Dec 31 if applicable. Complete Augusta Rule events (14-day max). Review investment portfolio with financial advisor. Compile all documentation for tax preparation.

Q1 2027 Tax Filing & 2027 Planning: Complete 2026 IRA/Roth contribution by April 15, 2027. File 2026 return. Solo 401(k) employer contributions due by filing deadline + extensions. Review first-year actual results vs. modeled scenarios. Adjust 2027 strategy based on outcomes.

These milestones are planning considerations, not requirements. Actual timing will depend on property acquisition timelines, professional availability, and individual circumstances. Discuss sequencing with your CPA.

Educational Resources & 2026 Reference

2026 Contribution Limits Quick Reference

ACCOUNT TYPE	BASE LIMIT	CATCH-UP (50+)	SUPER CATCH-UP (60–63)	JOYCE'S MAXIMUM
401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250	\$35,750 (age 63)
401(k) Total (Employee + Employer)	\$72,000	+\$8,000	+\$11,250	\$83,250 (age 63)
HSA (Individual Coverage)	\$4,400	+\$1,000 (55+)		\$5,400
HSA (Family Coverage)	\$8,750	+\$1,000 (55+)		\$9,750 (if family plan)
Traditional / Roth IRA	\$7,500	+\$1,100	N/A	\$8,600 (via Backdoor Roth)
Business Mileage Rate	72.5¢ per mile			

⚠ **SECURE 2.0 Reminder:** Joyce earned \$500K+ in FICA wages in 2025. Under SECURE 2.0 §603, the \$11,250 super catch-up contribution for 2026 must be designated as Roth (after-tax). This means no current-year tax deduction on the catch-up portion, but tax-free growth and withdrawal in retirement.

Key OBBBA Provisions (Signed July 4, 2025): 100% bonus depreciation permanently restored for property acquired after Jan 19, 2025 · SALT deduction cap raised from \$10,000 to \$40,000 · Section 179 expanded to \$2,500,000 (phase-out at \$4,000,000) · 20% QBI deduction for pass-through businesses made permanent · TCJA individual tax rates (10%–37%) made permanent · Standard deduction: \$16,100 (single) / \$32,200 (MFJ) for 2026.

For Educational Reference: IRS Publication 587 (Home Office) · IRS Publication 946 (Depreciation) · IRS Publication 463 (Travel & Vehicle) · IRS Publication 969 (HSA) · IRC §280A (Augusta Rule) · IRC §469 (Passive Activity Rules) · IRC §168(k) (Bonus Depreciation) · SECURE 2.0 Act §603 (Roth Catch-up) · IRS Notice 2026-11 (OBBBA Bonus Depreciation Guidance) · Rev. Proc. 2025-32 (2026 Limits). Verify all information at IRS.gov or with your tax professional.

Important Disclaimers

Educational Purpose: This Wealth Strategy Snapshot is provided for educational and illustrative purposes only. It does not constitute individualized investment, tax, or legal advice.

Not Investment Advice: Legacy Investing Show and its staff are not registered investment advisers. This document does not recommend the purchase, sale, or holding of any security. Investment scenarios presented are illustrative models for educational purposes only. All investments carry risk including potential loss of principal.

Not Tax Advice: Tax strategies discussed are educational explanations of how certain provisions work. Eligibility, implementation, and actual tax outcomes depend on your specific circumstances and must be verified by a qualified CPA or tax attorney before implementation.

Not Legal Advice: Entity structure, asset protection, and partnership discussions are educational. Consult a qualified attorney for legal guidance specific to your situation.

No Guarantees: Projected values, potential savings, and scenario outcomes are illustrative estimates based on assumptions stated. Actual results will vary based on market conditions, tax law changes, and individual circumstances. Past performance does not guarantee future results.

Investment Risk Disclosure: All investments involve risk. Bitcoin and cryptocurrency investments are highly volatile and speculative. Real estate investments carry risks including market fluctuations, vacancy, and unexpected expenses. You could lose some or all of your invested capital.

Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of March 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025, and Maryland legislative changes effective tax year 2025. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

Limitation of Liability: Legacy Investing Show assumes no liability for actions taken based on information in this educational document. You are solely responsible for your financial decisions.

